

in Figure 3-3. A zigzag is far more typical of *second* waves than fourth waves. There are exceptions to this common characteristic, such as the 1929-1932 zigzag wave (IV). However, even in that case, the correction was a *triangle* in inflation-adjusted data (see Figure 3-3), which is a classic fourth wave pattern.

The appearance of a zigzag in the fourth wave position is so rare in the stock market that I do not hesitate to conclude that the 1700s bear market was wave Two of a larger advance that began centuries ago. The advance from 1784, then, is wave Three, as shown in Figure 5-1. The next event at this scale must be wave Four, which means that *the degree of the imminent correction is limited to Grand Supercycle*. As strong as that conclusion may be from a single piece of evidence, there is more to support it.

Confirmation From the Inflation-Adjusted Dow

Another key to the limited degree of the coming bear market is that the corrective pattern from 1966 in the inflation-adjusted DJIA began with *three* waves down, and the corrective pattern contains a new high, as shown in Figure 3-3. This is terribly good news, because had the bear market begun with five waves down, there would be no telling what degree was unfolding, as a “five” could be part of a pattern of any size. A three-wave beginning, on the other hand, indicates a developing flat or triangle, which is always either an entire correction or a component one degree smaller than the entire correction. There is no example of a bear market of any degree that began with a flat or triangle two degrees smaller. Because this flat or triangle must constitute the entire correction or Supercycle wave (W) of a Grand Supercycle, we know that a Grand Supercycle corrective pattern will *not* turn out to be part of an even larger structure.

While a Grand Supercycle bear market is quite big enough to worry about, it is nevertheless heartening to know that that is *all* we and our progeny will have to worry about. Although much of the world may return to conditions not unlike those of the 1930s and 1940s, it will not be returning to the conditions of the Dark Ages. This conclusion is hardly trivial; it pertains to civilization itself. While a Grand Supercycle bear market portends major war, which will be devastating to be sure, we can now retire any fears of an all-out global nuclear holocaust that devastates the planet and sets civilization back a thousand years, which would have been the implication of a Millennium degree bear market. Such fears will probably be intense and widespread before this Grand Supercycle